Answer Key - Economics - Graduate Level Assessment 17 (Answers are ordered exactly as in the question paper.)

Multiple Choice

1. **Answer:** A
   Options: A) surplus expansion surplus expansion; B) deficit recession deficit expansion; C) surplus expansion deficit recession; D) deficit expansion deficit recession; E) surplus expansion surplus recession
   Note: The correct answer reflects the cyclical nature of government budgets, where increased economic activity during expansions leads to higher tax revenues, resulting in budget surpluses, while economic downturns typically decrease revenues and increase expenditures, leading to budget deficits.

2. **Answer:** D
   Options: A) increase long-run output with no significant impact on inflation.; B) have no significant impact on either output or inflation.; C) lower the unemployment rate while also lowering the rate of inflation.; D) increase short-run output but it is the source of long-run inflation.; E) increase the nation's long-run capacity to produce.
   Note: The quantity theory of money posits that while an increase in the money supply can boost short-run output due to higher spending and demand, it ultimately leads to long-run inflation as the sustained increase in money supply outpaces real economic growth, causing prices to rise.

3. **Answer:** A
   Options: A) a political union of European nations; B) A social welfare collaboration between Eastern and Western European countries; C) a military alliance in Europe; D) a cultural organization in Europe; E) A trade agreement between Europe and Asia to promote intercontinental commerce
   Note: The European Economic Community (EEC) was established to promote economic integration and cooperation among its member states, ultimately evolving into a political union that seeks to enhance political collaboration and unity in Europe.

4. **Answer:** E
   Options: A) Scarcity is relevant only for non-renewable resources in the circular flow model; B) Scarcity is only relevant in the factor markets of the circular flow model; C) Scarcity is only considered in the household sector of the circular flow model; D) Scarcity is addressed through government intervention in the circular flow model; E) Scarcity is implicit in the entire analysis of the circular flow model
   Note: Scarcity is implicit in the circular flow model because it underlies the interactions between households and firms, highlighting how limited resources are allocated through the exchange of goods and services within the economy.

5. **Answer:** C
   Options: A) GNP and NNP are always equal; B) NNP = GNP + (Depreciation * 2); C) GNP = NNP + Depreciation; D) NNP = GNP - Depreciation; E) NNP and GNP

are unrelated financial indicators
Note: The correct answer reflects the accounting relationship where Gross National Product (GNP) accounts for total economic output before deducting depreciation, while Net National Product (NNP) adjusts GNP by subtracting the value of capital consumed in the production process, thus illustrating how NNP is derived from GNP by accounting for depreciation.

True / False

6. **Answer:** True
   Options: A) True; B) False
   Note: A monopoly can initially sustain short-run profits due to its market power and lack of competition, but in the long run, potential competitors are incentivized to enter the market, eroding the monopoly's profits through increased supply and competitive pricing.

7. **Answer:** True
   Options: A) True; B) False
   Note: The crowding-out effect is true in this context because when contractionary fiscal policy-typically involving reduced government spending or increased taxes-leads to higher interest rates, it can discourage private investment as borrowing costs rise, effectively "crowding out" private sector spending.

8. **Answer:** True
   Options: A) True; B) False
   Note: Experts believe that the Consumer Price Index (CPI) overstates increases in the cost of living because it does not fully account for substitutions consumers make in response to price changes or improvements in product quality.

9. **Answer:** False
   Options: A) True; B) False
   Note: The statement is false because excess reserves are calculated as total reserves minus required reserves, and with an 80% reserve ratio on a 1000*deposit, therequiredreserveswouldbe*800
   leaving only $200 in excess reserves.

10. **Answer:** True
    Options: A) True; B) False
    Note: The statement is true because higher interest rates in country A attract foreign capital seeking better returns, leading to increased demand for country A's currency and ultimately causing its value to appreciate relative to country B's currency.

Long Form Response

11. **Answer:** Stagflation in the early 1970 s was primarily driven by a rapid acceleration in the price level, significant oil price increases, the inefficacy of existing tax systems, and

macroeconomic policy missteps. The OPEC oil embargo of 1973 led to skyrocketing oil prices, which in turn caused widespread inflation across various sectors, while unemployment simultaneously rose due to economic stagnation. Additionally, tax systems that failed to account for inflation exacerbated income inequality and reduced consumer spending, further limiting economic growth. Misguided macroeconomic policies, such as attempts to control inflation through restrictive monetary policies, often worsened unemployment without effectively curbing price increases. These interconnections between supply shocks and policy failures not only deepened the economic malaise of the period but also prompted a reevaluation of Keynesian economic principles, leading to the need for new frameworks in economic policy that could address both inflation and unemployment simultaneously.
Note: This answer accurately identifies the interplay between rising oil prices, inflation, unemployment, and ineffective tax policies as central factors of stagflation in the early 1970 s, highlighting how these elements interrelated to create a complex economic crisis that necessitated a reevaluation of economic policy.

12. **Answer:** The significance of a 95% two-sided confidence interval for the intercept term in a regression model, such as (-2.50, 2.50), indicates that we can be 95% confident that the true value of the intercept lies within this range. This interval not only reflects the degree of uncertainty associated with the intercept estimate but also implies that the intercept may not be statistically significant at conventional levels if it includes zero. From an economic perspective, a non-significant intercept suggests that the baseline level of the dependent variable may not provide reliable insights without considering other factors or variables in the model. Consequently, the width of this confidence interval also points to the model's overall reliability; a narrow interval would suggest more precision in the estimate, thus enhancing the credibility of the model's predictions and interpretations.
Note: correct because it accurately describes how a 95% confidence interval for the intercept indicates the range of plausible values for the intercept, highlights the uncertainty in the estimate, and implies potential statistical insignificance if the interval includes zero, which has important implications for interpreting the model's reliability and economic significance.

End of Answer Key